

Group Financial Support

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to a _BRRD undertaking_ which is a _CRR firm_ , a _financial holding company_ , a _mixed financial holding company_ or a _mixed activity holding company_.

1.2

This Part does not apply in relation to:

1. (1) financial arrangements, other than _group financial support agreements_ , including funding arrangements and the operation of centralised funding arrangements, provided that no _institution_ that is party to such arrangements meets the _conditions for early intervention_ ; and
2. (2) financial support provided by a _BRRD undertaking_ to a member of its _group_ that experiences financial difficulties if the _BRRD undertaking_ decides to do so on a case-by-case basis and according to _group_ policies if it does not represent a risk for the _group_.

[Note: Art. 19(2) and (3) of the _BRRD_]

1.3

In this Part, the following definitions shall apply:

competent authority

means:

1. (1) the _PRA_ , in respect of _PRA-authorised persons_ ;
2. (2) the _FCA_ , in respect of any other _person_.

conditions for early intervention

means circumstances in which an _institution_ infringes or is likely in the near future to infringe the requirements of the _CRR_ , or the requirements of provisions implementing _CRD_ , _MiFID II_ or any of Articles 3 - 7, 14 - 17 and 24, - 26 of _MiFIR_.

group

means a _parent undertaking_ and its _subsidiaries_.

group financial support agreement

means an agreement between:

1. (1) a _UK parent institution_ , or a _qualifying parent undertaking_ , a _financial holding company_ , a _mixed financial holding company_ or a _mixed-activity holding company_ established in the _UK_ ; and
2. (2) a _subsidiary_ of an entity referred to in (1) set up in a _third country_ and that is an _institution_ or a _financial institution_ covered by the consolidated supervision of the entity referred to in (1),

to provide financial support to a party that is an _institution_ at a time when that _institution_ meets the _conditions for early intervention_.

management body

means a _BRRD undertaking's_ body or bodies, which are appointed in accordance with _UK_ law, which are empowered to set the _BRRD undertaking's_ strategy, objectives and overall direction, and which oversee and monitor management decision-making, and include the _persons_ who effectively direct the business of the _BRRD undertaking_.

own funds requirement

means the requirements laid down in Articles 92 - 98 of the _CRR_.

UK parent undertaking

means a _UK parent institution_ , a _UK parent financial holding company_ or a _UK parent mixed financial holding company_.

1.4

Unless otherwise defined, any italicised expression used in this Part and in the _CRR_ has the same meaning as in the _CRR_.

2

Group Financial Support Agreement

2.1

A _BRRD undertaking_ must not enter into a _group financial support agreement_ unless the following conditions are satisfied:

1. (1) the _group financial support agreement_ specifies the principles for the calculation of the consideration for any transaction made under it, which:
 1. (a) need not take into account any anticipated temporary impact on market prices arising from events external to the _group_ ;
 2. (b) may take into account information unavailable to the market in the possession of the party providing financial support based on it being in the same _group_ as the party receiving financial support; and
 3. (c) must require that the consideration is set at the time of the provision of financial support;
2. (2) each party acts freely in entering into the _group financial support agreement_ ;
3. (3) in entering into the _group financial support agreement_ and in determining the consideration for the provision of financial support, each party acts in its own best interests which may take account of any direct or any indirect benefit that may accrue to a party as a result of the provision of the financial support;
4. (4) each party providing financial support has full disclosure of relevant information from any party receiving financial support prior to determination of the consideration for the provision of financial support and prior to any decision to provide financial support;

[Note: Art. 19(7) of the _BRRD_**]

**

5. (5) any right, claim or action arising from the _group financial support agreement_ may be exercised only by the parties to the agreement; and

[Note: Art. 19(9) of the _BRRD_**]

**

6. (6) the terms of the _group financial support agreement_ are consistent with the conditions for the provision of financial support in 4.1.

[Note: Art. 20(3) of the _BRRD_]

2.2

A _BRRD undertaking_ must not enter into a proposed _group financial support agreement_ if:

1. (1) the _consolidating supervisor_ has not granted permission to do so; or
2. (2) at the time the proposed agreement is made, the _competent authority_ has decided that a party to the agreement that is an _institution_ meets the _conditions for early intervention_.

[Note: Art. 19(8) and Art. 20(3) of the _BRRD_]

3

Submission of Group Financial Support Agreement

3.1

This Chapter applies to a _BRRD undertaking_ which is a _UK parent undertaking_ , unless the _FCA_ is the _consolidating supervisor_ of its _group_.

3.2

The changes to this rule are effective from 23:00 on 31/12/2020.

If a _BRRD undertaking_ or any member of its _group_ intends to enter into a _group financial support agreement_ , or amend a _group financial support agreement_ previously authorised by the _consolidating supervisor_ , the _BRRD undertaking_ must submit to the _consolidating supervisor_ an application for authorisation of the proposed agreement or amendment.

3.3

The application referred to in 3.2 must contain the text of the proposed _group financial support agreement_ and identify any other _persons_ in the same _group_ as the _BRRD undertaking_ that propose to be parties to the proposed agreement.

[Note: Art. 20(1) of the _BRRD_]

4

Conditions for Group Financial Support

4.1

A _BRRD undertaking_ must not provide financial support in accordance with a _group financial support agreement_ unless the following conditions are met:

1. (1) there is a reasonable prospect that the financial support provided significantly redresses the financial difficulties of the _group_ member receiving the support;
2. (2) the provision of financial support has the objective of preserving or restoring the financial stability of the _group_ as a whole or any of the members of the _group_ and is in the interests of the _BRRD undertaking_ providing the support;
3. (3) the financial support is provided on terms, including consideration, in accordance with 2;
4. (4) there is a reasonable prospect, on the basis of the information available to the _management body_ of the _BRRD undertaking_ providing financial support at the time when the decision to grant financial support is taken, that the consideration for the financial support will be paid and, in particular:
 1. (a) if the financial support is given in the form of a loan, the loan will be repaid by the _group_ entity receiving the support; and
 2. (b) if the financial support is given in the form of a guarantee or any form of security, the liability of the _group_ entity receiving the support that arises in the event that the guarantee is called upon or the security is enforced, will be paid.
5. (5) the provision of the financial support would not jeopardise the liquidity or solvency of the _BRRD undertaking_ providing the financial support;
6. (6) the provision of the financial support would not create a threat to financial stability, in particular in the _UK_ ;
7. (7) where a _firm_ provides the financial support, it complies at the time the financial support is provided, with the requirements of the provisions implementing _CRD_ relating to capital or liquidity and any requirements of provisions implementing Article 104(2) of the _CRD_ and the provision of the financial support does not cause the _firm_ to infringe those requirements;
8. (8) where a _firm_ provides the financial support, it complies at the time when the financial support is provided, with the requirements relating to large exposures laid down in the _CRR_ and in the Large Exposures Part, and the provision of the financial support must not cause the _firm_ to infringe those requirements; and
9. (9) the provision of the financial support would not undermine the resolvability of the _BRRD undertaking_ providing the financial support.

[Note: Art. 23 of the _BRRD_]

5

Decision to Provide or Accept Group Financial Support

5.1

A _BRRD undertaking_ that intends to provide financial support in accordance with a _group financial support agreement_ must ensure that the decision to provide financial support is taken by its _management body_.

5.2

The decision must be reasoned and indicate the objective of the proposed financial support; in particular, the decision must indicate how the provision of the financial support complies with the conditions in 4.1.

5.3

A _firm_ that intends to accept financial support in accordance with a _group financial support agreement_ must ensure that the decision to accept financial support is taken by its _management body_.

[Note: Art. 24 of the _BRRD_]

6

Notification of Proposed Group Financial Support

6.1

A _BRRD undertaking_ that intends to provide financial support in accordance with a _group financial support agreement_ must ensure that its _management body_ notifies:

1. (1) the _PRA_ ;
2. (2) the _FCA_ where it is the _consolidating supervisor_.
3. (3) [deleted.]
4. (4) [deleted.]

before it provides that financial support.

6.2

The notification must include the reasoned decision of the _management body_ and details of the proposed financial support including a copy of the _group financial support agreement_.

[Note: Art. 25(1) of the _BRRD_]

7

Provision and Notification of Group Financial Support

7.1

A _BRRD undertaking_ may only provide financial support in accordance with a _group financial support agreement_ if:

1. (1) the _PRA_ has not, within five _business days_ from the date of receipt by the _PRA_ of the complete notification in 6.1, prohibited the provision of the financial support;
2. (2) the _PRA_ has agreed to the provision of the proposed financial support; or
3. (3) the _PRA_ has agreed to the provision of financial support subject to restrictions.

7.2

Where the _PRA_ has agreed to the provision of financial support subject to restrictions, a _BRRD undertaking_ may only provide financial support in accordance with those restrictions.

[Note: Art. 25(5) of the _BRRD_]

7.3

Where the _management body_ of a _BRRD undertaking_ decides to provide the financial support, that _BRRD undertaking_ must notify:

1. (1) the _PRA_ ;
2. (2) the _FCA_ where it is the _consolidating supervisor_.
3. (3) [deleted.]
4. (4) [deleted.]

[Note: Art. 25(6) of the _BRRD_]

8

Disclosure

8.1

A _BRRD undertaking_ must, in accordance with the general principles set out in Articles 431 - 434 of the _CRR_ , disclose:

1. (1) whether or not it has entered into a _group financial support agreement_ ;
2. (2) a description of the general terms of any such agreement; and
3. (3) the names of the _group_ members that are party to the agreement.

8.2

A _BRRD undertaking_ must update the information disclosed at least annually.

[Note: Art. 26(1) of the _BRRD_]